WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

TURKMENISTAN

Eurasia

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Ashgabat	Capital and seat of government, home to the ministries, the Central Bank and the main state concerns; the principal centre for business and investment dialogue	Administration, banking, construction, services
Arkadag (Ahal region)	Turkmenistan's first purpose-built "smart" city and Ahal's regional capital, developing under a 2024–2052 Concept, with a second construction stage of housing, industrial and social facilities scheduled for 2026	Construction, smart-city technology, health and education services
Mary region / Galkynysh gas field	One of the world's largest gas fields, with Galkynysh, Garakol and Yashlar estimated by GaffneyCline at 27.4 trillion cubic metres; phase one processes 30 bcm a year and a phase-four contract for a further 10 bcm was signed with CNPC in April 2026	Upstream gas, gas processing, oilfield services and engineering
Turkmenbashi International Seaport (Balkan region)	Modern Caspian port with installed capacity of 17 million tonnes and 400,000 TEU a year; cargo turnover rose 15.2% in 2025 and utilisation climbed to 43% from 19% in 2023, leaving ample room for growth	Port logistics, trans-Caspian and Middle Corridor transit, warehousing
Central Asia–China gas corridor (Lines A, B and C)	Carries around 40 bcm of Turkmen gas a year to China, with more than 462 bcm delivered over 20 years; volumes are expected to rise to about 65 bcm once Line D is commissioned	Gas transit, midstream infrastructure, compression and maintenance services
Southern border / TAPI pipeline route to Herat	Start of the 1,814 km, 33 bcm-a-year TAPI pipeline; the Turkmen section is complete and the first 130 km Afghan section to Herat was 52% built in June 2026, with completion targeted for end-2026	Pipeline construction, energy transit, cross-border trade (subject to compliance review)

INVESTOR ENTRY ROUTES

- Ministry of Finance and Economy, the lead economic ministry and co-organiser (with the Ministry of Foreign Affairs) of the Turkmenistan Investment Forum, supported by the official investment portal

invest.gov.tm; an OECD review published in November 2025 recommends a dedicated investment promotion agency

- Law on Foreign Investments, providing legal protection for foreign investors, compensation in the event of requisition of property, the right to transfer investment-related payments and return capital when activity ends, and protection of intellectual property from the date a project is registered
- Law on Free Economic Zones (October 2017), enabling trade, industrial, technology and innovation, transport and logistics, agricultural and complex zones, with a state guarantee of stable investment conditions for zone participants
- Central Bank of Turkmenistan oversight of the currency regime: the manat's official rate has been fixed at 3.5 per dollar since 2015, foreign exchange is allocated administratively, and conversion and repatriation terms should be agreed at project approval stage
- Hydrocarbon participation under the Law on Hydrocarbon Resources, including through turnkey, service and partnership contracts with the state concern Türkmengaz, as with CNPC's April 2026 turnkey contract for Galkynysh phase four
- Development-finance co-investment: the EBRD (87 projects and €322 million invested since 1992) signed five memorandums in July 2026, including one with the Central Bank to resume direct financing of foreign-currency-earning private exporters

MARKET-ENTRY OBSERVATION

Turkmenistan in October 2026 offers investors a stable, low-debt economy with substantial resources and a reform dialogue that is gaining momentum. Official data show GDP growth of 6.3% in the first half of 2026, led by transport and communications (+10.4%), trade (+8.5%) and services (+8.4%), with capital investment of 18.6 billion manats (about $5.3 billion), up 4.3% and equal to 16.5% of GDP. The IMF, which uses its own estimates, puts real growth at 3.6% in 2025 (up from 3.4% in 2024) and projects 2.4% for 2026, while noting low public debt, large fiscal buffers, a small budget surplus in 2025 and a current account surplus of 1.7% of GDP. FDI inflows have risen every year since 2021 to $701 million in 2025 (UNCTAD). Engagement with international institutions is deepening through WTO accession talks and five EBRD cooperation memorandums signed in July 2026.

Turkmenistan's main structural challenge is concentration: mineral fuels account for about 90% of exports and China takes around three-quarters, while the economy remains largely state-directed, with a fixed official exchange rate, administrative foreign-exchange allocation and directed credit. The resource base gives this model considerable resilience — Galkynysh alone ranks among the world's largest gas fields, and contracted flows to China of around 40 bcm a year are expected to rise to about 65 bcm with Line D. Diversification is advancing on several fronts: CNPC began a fourth Galkynysh development phase in April 2026, the TAPI pipeline's first Afghan section to Herat is targeted for end-2026, and Turkmenbashi port more than doubled its utilisation between 2023 and 2025 as Middle Corridor traffic grew. The IMF's 2026 mission set out a clear reform path, including exchange-rate unification and a shift toward market-based credit. Investors who structure around hard-currency revenues and partner with state concerns can position early for the opportunities that further opening will create in logistics, energy services, agribusiness and the wider non-hydrocarbon economy.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Currency convertibility and exchange-rate regime	The official rate has been fixed at 3.5 manats per dollar since 2015, and the IMF notes a large gap with the parallel market alongside foreign-exchange rationing and payment restrictions	Prioritise projects with foreign-currency revenues, agree conversion and repatriation terms at approval stage, and use EBRD-backed structures; IMF-recommended unification would materially improve conditions
Concentration on gas and on one main buyer	Mineral fuels make up about 90% of exports and China around three-quarters, so earnings track gas volumes and prices	Long-term China contracts provide stable volumes, while Line D, TAPI and Caspian routes broaden outlets and create opportunities in midstream and services
Iran-linked routes and sanctions compliance	US and EU restrictions on Iran were tightened in 2025, the Turkmen gas swap to Turkey via Iran halted after its first months, and the 2026 Hormuz crisis brought a US naval blockade of Iranian	Obtain sanctions counsel, screen counterparties, payment channels and routings, and exclude Iran-linked transactions; focus on China-bound,

Issue	Potential Impact	Possible Mitigation
	ports	Caspian and Middle Corridor flows
Afghanistan-linked projects (TAPI, cross-border rail)	Afghanistan's Taliban administration is not recognised by the UK, EU or US and several of its figures are subject to UN sanctions, which restricts direct engagement on the Afghan side of TAPI and related links	Limit exposure to the Turkmen side with legal and sanctions review of any Afghan counterparties, and prepare for wider participation should conditions normalise
State-led economy and administrative controls	Import substitution, directed credit, price and interest-rate controls and a large state-enterprise sector shape most markets, as the IMF's 2026 mission highlighted	Partner with state concerns on clearly defined contracts and co-finance with the EBRD; reform of state enterprises and credit allocation will widen space for private investors
Data availability and transparency	The IMF finds official growth figures hard to reconcile with other data and uses its own estimates, so headline statistics need careful reading	Base planning on IMF, World Bank and UNCTAD data, commission independent market and counterparty due diligence, and track the IMF's statistical-improvement agenda
Logistics procedures and port utilisation	Turkmenbashi port used 43% of capacity at end-2025, and corridor officials cite procedural delays as a constraint on fuller use	Spare capacity is an opportunity for logistics investors; work with experienced forwarders and follow World Bank and EBRD trans-Caspian logistics programmes

INVESTOR RISK NOTE

Turkmenistan's risk profile reflects a stable, resource-rich economy with very low public debt, large fiscal buffers, a current account surplus and long-term gas contracts that underpin export earnings. The principal considerations for investors are structural rather than cyclical: a fixed official exchange rate with administrative foreign-exchange allocation, a predominantly state-led economy, and official statistics that differ from IMF estimates. Investors should also treat two legal realities as compliance matters: US and EU sanctions on Iran, tightened in 2025 and reinforced by the 2026 Hormuz crisis, mean Iran-linked routings and counterparties should be excluded, and the non-recognition of Afghanistan's Taliban administration by the UK, EU and US restricts engagement on the Afghan side of TAPI and related links; specialist sanctions counsel is advisable for any project touching either border. Against this, the direction of travel is constructive: WTO accession talks, the EBRD's 2027–2032 cooperation framework and the IMF's reform roadmap give investors a credible path to wider opening.

MARKET ACCESS

Turkmenistan's foreign policy rests on permanent neutrality, recognised by the United Nations in 1995, and the country is not a member of the Eurasian Economic Union. It gained WTO observer status in July 2020, applied for membership in November 2021 and has been an acceding country since a Working Party was established in 2022, with 2026 talks focused on its Foreign Trade Regime memorandum. Trade with the EU operates under an Interim Trade Agreement in force since 2010, and Turkmenistan is a member of the Economic Cooperation Organization, the Asian Development Bank, the EBRD and the Islamic Development Bank. China takes around three-quarters of exports, mainly pipeline gas via the Central Asia–China corridor, followed by Türkiye and Greece, while Türkiye and China are the leading sources of imports. Turkmenbashi port links the country to Baku and the Middle Corridor, and the China–Kyrgyzstan–Uzbekistan–Turkmenistan multimodal route is driving rising transit volumes, giving Turkmenistan a growing role as an east–west and north–south connector.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Serdar Berdimuhamedov) and the Halk Maslahaty (People's Council, chaired by Gurbanguly Berdimuhamedov)	Set national economic, energy and foreign-policy priorities; the President has named transport, energy, the digital economy and the environment as priority areas for international cooperation	Primary reference point for strategic direction and high-level project endorsement

Actor	Why It Matters	Waverley Engagement Angle
Ministry of Finance and Economy	Lead economic ministry and main government counterpart for foreign investors, co-organising the Turkmenistan Investment Forum	Standard first point of contact for project registration, incentives and investment dialogue
Central Bank of Turkmenistan	Manages the manat and foreign-exchange allocation, and signed a July 2026 memorandum with the EBRD to support financing of foreign-currency-earning exporters	Key counterpart on currency conversion, repatriation and banking-sector matters
Türkmengaz (state gas concern)	State gas concern behind Galkynysh development and gas export arrangements, and counterparty to CNPC's 2026 turnkey phase-four contract	Essential partner for upstream, processing and gas-services engagement
EBRD (Ashgabat)	Long-standing DFI partner since 1992, focused on private-sector development, banking, transport corridors and sustainable energy under its 2027–2032 cooperation framework	Natural co-financier and risk-sharing partner for private-sector entry

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Chamber of Commerce and Industry of Turkmenistan, with regional branches in Ahal, Balkan, Dashoguz, Lebap and Mary, organises trade exhibitions and is the main liaison point for domestic business, while the Union of Industrialists and Entrepreneurs of Turkmenistan offers members consulting, legal assistance, logistics and introductions to the private sector. The Turkmenistan Investment Forum, held at the Awaza congress centre in September 2025 and organised by the Ministry of Finance and Economy and the Ministry of Foreign Affairs, and the annual Turkmenistan Gas Conference at Awaza are the leading platforms for meeting senior officials. Among development finance institutions, the EBRD is the most active, with 87 projects to date and a new 2027–2032 cooperation framework, alongside the World Bank's trans-Caspian trade-logistics work and Turkmenistan's membership of the Asian Development Bank and the Islamic Development Bank.

INVESTOR PROFILE BEST SUITED

Turkmenistan best suits patient, relationship-driven investors able to work alongside state counterparts: energy-services, engineering and equipment companies supporting Galkynysh development, gas processing and the Turkmen side of TAPI; logistics, shipping and warehousing operators able to use Turkmenbashi port's spare capacity and rising Middle Corridor traffic; and foreign-currency-earning exporters in agri-processing, fertilisers and textiles that align with the EBRD's new financing channel. Construction, smart-city technology and hospitality suppliers can also find opportunities in Arkadag and Awaza. Investors relying on local-currency revenues or needing frequent profit repatriation should structure carefully and may prefer to scale up as exchange-rate reform progresses.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Open dialogue with the Ministry of Finance and Economy and attend the Turkmenistan Investment Forum
Use the ministry and the Awaza investment forum to establish senior relationships, register projects and secure the protections available under the Law on Foreign Investments.

STEP 2: Structure currency and repatriation terms from the outset
Prioritise foreign-currency revenues, agree conversion and transfer arrangements with the Central Bank at approval stage, and explore EBRD-backed financing for exporters.

STEP 3: Partner with state concerns on clearly defined contracts
Engage Türkmengaz and other state bodies through service, turnkey or partnership models, following the precedent of CNPC's 2026 Galkynysh phase-four contract.

STEP 4: Commission sanctions and compliance review for cross-border elements
Take specialist legal advice on any Iran- or Afghanistan-linked routes, counterparties or payments, and design projects around lawful China-bound, Caspian and Middle Corridor flows.

STEP 5: Position for logistics growth and WTO-driven opening
Assess opportunities at Turkmenbashi port and along the Middle Corridor, and track WTO accession and IMF-recommended reforms that will widen access for private investors.